

Lecture Notes 1

Money Creation (Central Bank)

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Money Creation (Central Bank)

- According to international standards, the economy is divided into 4 sectors:
 - a) Central bank (CB) → currency
 - b) Treasury → coins
 - c) Depository institutions (Bank public) → bank money
 - d) Non-bank public
 - Individuals
 - Corporations
 - Non Banking Institutions (Islamic Banks, Investment Banks, Development Banks)
- Ultimate accounting rule for CB transactions:
 - Money is a liability for those who create it
(For the rest, money is an asset)
 - In order to increase money (i.e an increase in liabilities), CB should:
 - i. either decrease another item in the liability
 - ii. or increase an item on the asset side

CB Balance Sheet

- General characteristics of CB Balance Sheet

CB Balance Sheet					
A. Foreign Assets			C. Total F/X Liabilities		
B. Domestic Assets			D. Central Bank Money		
	a) Cash Credit			a) Reserve Money	
	b) Valuation Account				i) Currency Issued and Circulating
					ii) Bank's Reserves
					1) Required Reserves
					2) Free Reserves
				b) Other CB Money	
					i) OMO
					ii) Public Deposits

- $FX \text{ position} = FA - FX \text{ liabilities}$

Valuation Account

- Importance of valuation account:
 - Suppose CB borrows \$1 to extend TL credit to TMO on behalf of Treasury, just before a major devaluation.

(Before Devaluation)		(After Devaluation)	
1\$=10TL January 23 xxx		1\$=100TL January 24 xxx	
Domestic Credit to TMO	FX liability	Domestic Credit to TMO	FX liability
=10 TL	=1\$	=10 TL	=1\$
	=10 TL		=100 TL
		Valuation account	Loss = (90)
		=90	

- What is the FX position = $0 - 1 = -1\$$ (short position)

CB Money

- All TL denominated liabilities should be considered as CB Money

(Not only currency in circulation [emisyon])